

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**COMPLAINANTS’ MOTION FOR AN ENLARGEMENT OF TIME TO FILE
EXCEPTIONS AND FOR OTHER RELIEF**

Pursuant to Rules 69, 71, 102, 228, and 230 of the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure (46 C.F.R. 502 *et seq.*), Complainants, through their Counsel, Marcus A. Nussbaum, Esq. respectfully submit this motion to the Commission for an enlargement of the twenty-two (22) day deadline for filing Exceptions to the Presiding Officer’s Initial Decision Dismissing the Complaint, which was served on March 9, 2017. Specifically, complainants request ninety (90) days from March 31, 2017 (current due date for Exceptions) for purposes of filing a Petition to Reopen the Proceedings and Remand the Matter to the Presiding Officer to take additional evidence. To the extent that the forthcoming Petition to Reopen the

Proceedings is denied, complainants request an additional twenty-two (22) days from the date denying said Petition to Reopen the Proceedings so that complainants may file Exceptions to the Presiding Officer's Initial Decision Dismissing the Complaint.

In the alternative, and to the extent appropriate, Complainants move for a stay of the instant proceedings pending the resolution of the matters of *Akishev et al. v. Kapustin et al.* (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07152-NLH-AMD) and *United States of America v. Sergey Kapustin* (U.S.D.C. – D.N.J. Docket No.: 2:16-MJ-03662-MF).

RELEVANT PROCEDURAL HISTORY

On November 12, 2015, complainants Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov filed the Verified Complaint in FMC No. 15-11, alleging that Respondents violated 46 U.S.C. §§ 40301, 40302, 40501, 40701, 41102, 41104, and 41106 of the Shipping Act and Commission regulations at 46 C.F.R. Part 515.

On January 11, 2016, complainant Kairat Nurgazinov filed the Claim in FMC No. 1953(1) alleging the same violations of the Act by the same Respondents. FMC No. 1953(1) was assigned to ALJ Clay G. Guthridge who already had been assigned the substantially identical complaint in FMC No. 15-11.

Subsequent thereto, respondents MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV (“Hitrinov”) and EMPIRE UNITED LINES CO., INC. (“EUL”) filed answers including Rule 12(b) defenses to both complaints, and then on June 10, 2016, filed a motion for judgment on the pleadings pursuant to Federal Rules of Civil Procedure 12(c), arguing that the Commission lacks subject matter jurisdiction and that the complaints fail to state claims for relief.

On March 9, 2017, the Presiding Officer's issued the Initial Decision Dismissing the Complaint.

ARGUMENT

Good Cause Exists for Enlarging the March 31, 2017 Due Date for the Filing of Exceptions to the Initial Decisions and/or for a Stay of the Proceedings Herein

As set forth above, complainants' Exceptions to the ID are due to be filed on or before March 31, 2017, within which complainants will appeal the Presiding Officer's erroneous findings pertaining to the alleged lack of standing of complainants to assert claims against respondents herein for violations of the Shipping Act. Complainants note at the outset that the ID was issued without complainants having had the benefit of discovery in that the Presiding Officer did not allow complainants to proceed forward on their various discovery related motions, which were denied simultaneously with the issuance of the ID on March 9, 2017 (Order Pending Certain Motions). The ID, in part, was based upon documents proffered by respondents which complainants had alleged, on multiple occasions throughout this litigation, were fabricated by respondents solely for the purposes of the instant proceeding. By virtue of the discovery related motions having been denied, complainants were deprived of the opportunity to establish the fraudulent nature of said documents.

As also set forth above, there is an ongoing matter being litigated in the United States District Court for the District of New Jersey captioned as *Akishev et al. v. Kapustin et al.* (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07152-NLH-AMD), which is discussed at length in the ID and the records of which the Presiding Officer has taken "official notice." (ID at p. 4). That proceeding involves non-party Sergey Kapustin, who sought to intervene in this matter, and who was a participant in the subject transactions together with respondents herein that formed the basis for complainants claims in the case at bar. Inasmuch as "official notice" has been taken of that proceeding, it should also be noted that said proceeding is still ongoing against the respondents. A copy of the docket printout as of the time of this writing is annexed hereto as Appendix "1".

The Commission may also be aware that on January 15, 2017, complainants filed a Status Report with the Presiding Officer, a copy of which is annexed hereto as Appendix “2”, wherein complainants explained that on December 22, 2016 the United States District Court for the District of New Jersey, by the Honorable Magistrate Judge Mark Falk, signed a criminal Complaint returned by a Federal Grand Jury against Kapustin alleging wire fraud and attempted wire fraud. That matter is captioned as *United States of America v. Sergey Kapustin* (U.S.D.C. – D.N.J. Docket No.: 2:16-MJ-03662-MF). Said criminal Complaint specifically ties respondent, Hitrinov to Kapustin in that Kapustin used Hitrinov’s company to ship certain vehicles, the purchase and sale of which were the *res gestae* of the criminal Complaint. Further, the transactions at issue in said case were the same transactions at issue in the instant case now pending before the Commission. A copy of the docket printout as of the time of this writing is annexed hereto as Appendix “3”, and it is also noted that said proceeding is still ongoing. Specifically, on February 8, 2017, the Court entered a Continuance Order finding that the complexity of the case is so that “adequate preparation for the purpose of plea negotiation, as anticipated by the Speedy Trial Act, would be unreasonable.”

Complainants’ instant request for enlargement of time is based upon complainants’ good faith belief that discovery in both the civil and criminal matters involving Kapustin will result in the production of documents, testimony and other evidence (and findings of fact by the Court) which will indeed establish that: (1) complainants were indeed the ultimate consignees for the automobiles which form the basis for complainants’ claims herein; (2) the documents proffered by respondents herein in support of dismissal and which were relied upon by the Presiding Officer in the ID were false and fraudulent; and (3) that the Commission has jurisdiction over the Complaint herein.

Upon production of the aforementioned discovery in the civil and criminal proceedings, complainants intend to file a Petition to Reopen the Instant Proceedings based upon new evidence which was not available prior to the time that the ID was issued, and which to date has been secreted by respondents.

The undersigned additionally bases the instant request for an enlargement of time for filing Exceptions upon the following reasons:

1. The ID is seventy-three (73) pages, the review of which will be time intensive, and the preparation of Exceptions will require the review of hundreds, if not thousands of pages of documents scattered within the one hundred and fifty-three (153) filings placed upon the docket in this matter;
2. The four complainants herein all reside in the former Soviet Union and speak limited English, which will require additional time for review of documents and preparation of Exceptions;
3. These proceedings were delayed significantly as a result of the numerous filings and motions (most of which were filed by respondents in an effort to delay the expeditious resolution of this matter), as well as the multiple requests for extensions of time by respondents and their counsel for personal reasons, such as travel and other responsibilities that allegedly prevented respondents and their counsel from proceeding forward in this matter in a timely fashion. To the extent that most (if not almost all) of these requests for extensions were granted at respondents' request, all fairness and equity now militates in favor of the undersigned's request for an extension for personal reasons. The undersigned will be outside of the continental United States for most of this month for matters related to prior military service and status as a U.S. Army Veteran.

In the alternative, it is respectfully submitted that a stay of this entire proceeding, pending the resolution of the aforementioned civil and criminal matters would also be appropriate, as it would accomplish the same purpose as an extension of time, and would further avoid the need for burdening the Commission with additional requests for extensions which would be made in good faith and would be made due to the fact that the civil and criminal matters might still be ongoing at the time the deadline for filing Exceptions is due to expire.

RELIEF REQUESTED

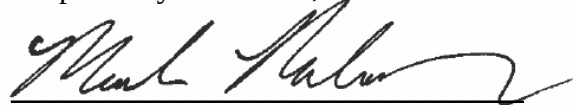
It is therefore respectfully requested that the Commission now issue an Order enlarging the twenty-two (22) day deadline for filing Exceptions to the Presiding Officer's Initial Decision Dismissing the Complaint, which was served on March 9, 2017. Specifically, complainants request ninety (90) days from March 31, 2017 (current due date for Exceptions) for purposes of filing a Petition to Reopen the Proceedings and Remand the Matter to the Presiding Officer to take additional evidence. To the extent that the forthcoming Petition to Reopen the Proceedings is denied, complainants request an additional twenty-two (22) days from the date denying said Petition so that complainants may file Exceptions to the Presiding Officer's Initial Decision Dismissing the Complaint.

In the alternative, and to the extent appropriate, Complainants request an Order staying the instant proceedings pending the resolution of the matters of *Akishev et al. v. Kapustin et al.* (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07152-NLH-AMD) and *United States of America v. Sergey Kapustin* (U.S.D.C. – D.N.J. Docket No.: 2:16-MJ-03662-MF).

WHEREFORE, it is respectfully requested that Complainants' motion be granted in its entirety.

Dated: March 10, 2017
Brooklyn, NY

Respectfully Submitted,



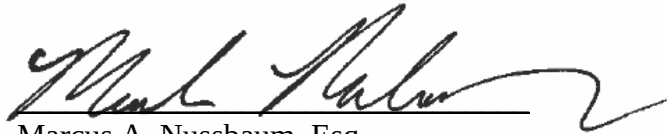
Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' MOTION FOR AN ENLARGEMENT OF TIME TO FILE EXCEPTIONS AND FOR OTHER RELIEF** and **APPENDIX** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
799 9th Street NW, Suite 500
Washington, DC 20001-4501

by first class mail, postage prepaid, and via email (ejeffrey@nixonpeabody.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: Brooklyn, New York
March 10, 2017